

beginning of a significant shift in global market sentiment. It will be followed by a possible delay in aggressive rate cuts by the US Federal Reserve and the Union Budget on February 1.

Market watchers believe investors could be jittery. G. Chokalingam, Founder of Equinomics Research, an equities research firm, says, "We expect the first two quarters of 2025 to remain subdued for the Indian equity market. A weaker rupee, a possible delay in rate cuts by the US Fed, and the forthcoming Budget would delay the return of foreign institutional investors (FIIs) to Indian equities."

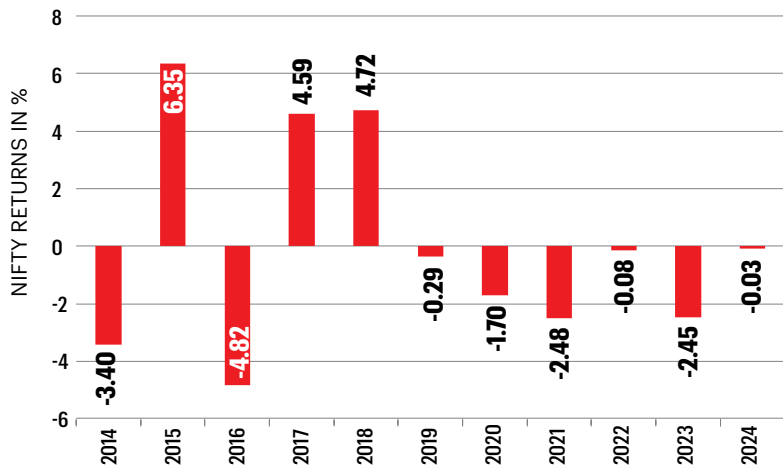
Overall, despite FIIs selling shares worth ₹1.15 lakh crore in October and November, they bought equities worth ₹3,460 crore in 2024 till December 27. In comparison, their net investment stood at ₹1.71 lakh crore in 2023. Meanwhile, the rupee declined 3% YTD to an all-time low of nearly 85.82 against the dollar on December 27.

Jathin Kaithvalappil, Assistant Vice President at Choice Broking, believes that the Indian equity markets could be cautious in the January-March period. "Creeping inflation in different parts of the

POOR SHOWING

● In the last 10 years, the Nifty has delivered positive returns only thrice in January

● In the past 20 years, it has witnessed a fall in January on 13 occasions



Other analysts are cautious for the whole of 2025. Ruchit Mehta, Head of Research at SBI Mutual Fund, says 2025 could be a volatile one for the domestic equity markets, continuing the trend of the last few months of 2024.

"For markets to deliver double-digit returns, earnings growth

weakness in the September quarter results. The combined profit after tax (PAT) and sales of Nifty 50 companies witnessed a growth of just 4% each in Q2FY25. "It is possible that in the second half of 2025 we could see revenue growth momentum recovering, as economic growth pulls through from the current slow phase," says Mehta.

In terms of returns in 2024, the 50-share Nifty index gained nearly 9% on a year-to-date basis till December 30. On the other hand, the broader indices, including the Nifty Midcap 100 and Nifty Smallcap 250 gained 24% and 26%.

Achin Goel, Vice President of Bonanza Portfolio, says, "The outlook for the Indian stock market in 2025 appears cautiously optimistic, influenced by a blend of domestic events and global economic dynamics."

He explains that the New Year is expected to be filled with uncertainty because of a combination of factors. "If Trump pushes ahead with increasing tariffs by 10-20% on all US imports, rising to 60% for Chinese goods, the resultant

THERE'S SOME CONCERN ABOUT CORPORATE EARNINGS, SINCE THERE WERE SIGNS OF WEAKNESS IN THE SEPTEMBER QUARTER RESULTS

country will certainly be one of the issues. There may be emerging opportunities, but overall it is likely to be flat, balancing the positive with several global uncertainties."

Kaithvalappil thinks FIIs will return gradually in 2025, influenced by stabilising global interest rates and India's strong growth potential. The pace of return will depend on geopolitical stability, currency dynamics, and risk appetite, he says.

has to sharply rebound from the current sluggish levels to the high teens range. This is not a given and would need revenue or sales momentum to recover and be the primary driver of earnings growth," Mehta says.

The other factor that will influence market movement is the strength of corporate earnings. There's some trepidation there, too, since there were signs of